

24PSCV01819 24PSCV01819

County: los-angeles

Division: Civil Law and Motion

Department: 6

Hearing date: 2026-08-19

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CIT%2C6%2C08%2F19%2F2026

Source SHA-256: 886c04e6b34b943f1d93292b33a70b79d0a5bf1dcbbc619548d68f12c75292e7

Case Number: 24PSCV01819 Hearing Date: August 19, 2026 Dept: 6

CASE

NAME: BMO

Bank N.A. formerly known as BMO Harris Bank N.A. v. Thunder Auto Group LLC, et al.

Plaintiff

BMO Bank N.A.'s Motion for Summary Adjudication

TENTATIVE

RULING

The Court GRANTS Plaintiff BMO Bank N.A.'s Motion for Summary Adjudication as to the First through Eighteenth Causes of Action. The Court DENIES the Motion as to the Twenty-First and Twenty-Second Causes of Action.

Plaintiff is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a commercial lending dispute. On June 6, 2026, plaintiff BMO Bank N.A. formerly known as BMO Harris Bank N.A. (Plaintiff) filed this action. On August 21, 2024, Plaintiff filed the operative First Amended Complaint (FAC) against defendants Thunder Auto Group LLC (Thunder), Zhe Zhou (Zhou), Si Chen (Chen) (collectively, Defendants) and Does 1 through 25, alleging nine counts of breach of written agreement, nine counts of breach of continuing guaranty, claim and delivery, conversion, fraudulent transfer – actual fraud, and fraudulent transfer – constructive fraud.

On June 2, 2026, Plaintiff moved for summary adjudication. On July 29, 2026, and July 30, 2026, Defendants filed documents in support of their Opposition to Plaintiff's Motion, including declarations and a request for judicial notice. On July 31, 2026, Defendants filed their memorandum of points and authorities, separate statement, and a declaration in support of their Opposition to Plaintiff's Motion. On August 7, 2026, Plaintiff replied to Defendants' Opposition. On August 11, 2026, Defendants filed a supplemental declaration. On August 12, 2026, Plaintiff filed an objection to and request to strike Defendants' supplemental declaration.

LEGAL STANDARD

The purpose of a motion for summary judgment or summary adjudication "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*)). "Code of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (*Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119, italics in original and quoting Code Civ. Proc., § 437c, subd. (c)). "The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings." (*Juge v. County of Sacramento* (1993) 12 Cal.App.4th 59, 67, citing *FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 381-382.)

"On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (*Scalf v. D.B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1519.) A plaintiff moving for summary judgment or summary adjudication "has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on

the cause of action. Once the plaintiff ... has met that burden, the burden shifts to the defendant ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant ... shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(1).) “[A] plaintiff bears the burden of persuasion that ‘each element of the ‘cause of action’ in question has been ‘proved,’ and hence that ‘there is no defense’ thereto.” (Aguilar, *supra*, 25 Cal.4th at p. 850, citing Code Civ. Proc., § 437c, subd. (o)(1).) “[I]f a plaintiff who would bear the burden of proof by a preponderance of evidence at trial moves for summary judgment, he must present evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not—otherwise, he would not be entitled to judgment as a matter of law, but would have to present his evidence to a trier of fact.” [Citation.]” (Quidel Corp. v. Superior Ct. (2020) 57 Cal.App.5th 155, 164, *italics in original* (Quidel).)

Courts

“liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

PRELIMINARY

ISSUES

Defendants contend the Court should deny Plaintiff’s Motion on the grounds that it is untimely. The Court declines to do so. The proof of service filed with the moving papers states under penalty of perjury that the moving papers were personally served on Defendants’ counsel’s office on May 29, 2026. (Proof of Service, filed 6/5/26.)[1] Plaintiff also served the moving papers via email on May 29, 2026. (Moving Papers’ Proof of Service, filed 6/2/26.) This is not a case where the Court shortened the notice period for the motion for summary judgment. This is a case where “untimely notice is attributable to a statutory violation by the moving party.” (See *Robinson v. Woods* (2008) 168 Cal.App.4th 1258, 1267.) Even assuming for the sake of argument that service of Plaintiff’s Motion was untimely by one day, Defendants fully opposed the Motion on the merits, including declarations and a separate statement; did not request a continuance; and did not present sufficient evidence of prejudice. Indeed, Defendants filed their opposition memorandum of points and authorities and

separate statement on July 31, 2026, one day after their due date of July 30, 2026. (Carlton v. Quint (2000) 77 Cal.App.4th 690, 697 [claim of inadequate notice was waived where the party opposed summary judgment motion eight days before the hearing, appeared and argued at the hearing, and did not request a continuance or argue prejudice because of the inadequate notice]; Robinson, supra, 168 Cal.App.4th 1258.) Thus, the Court finds that Defendants waived their claim of inadequate notice.

Defendants

also improperly submitted a supplemental declaration on August 11, 2026, which is well after the Opposition deadline and even after the Reply deadline. (Code Civ. Proc., § 437c, subds. (b)(2), (b)(4).) The Court will not consider Defendants' August 11, 2026 supplemental declaration. (See Jay v. Mahaffey (2013) 218 Cal.App.4th 1522, 1537-1538 [new evidence generally not permitted on reply unless it fills in gaps in the evidence created by the opposing party's opposition and is not raising new substantive issues for the first time; otherwise, a further hearing would be required to permit the opposing party to respond]; see also Alfaro v. Cmty. Hous. Improvement Sys. & Plan. Assn., Inc. (2009) 171 Cal.App.4th 1356, 1393, fn. 23 [“The general rule is that points raised for the first time in a reply brief will not be considered unless good cause is shown for the failure to present them before.” [Citation.]]].)

Defendants

failed to redact financial account information from some of the documents submitted in violation of Rule 1.201, subdivision (a)(2), of the California Rules of Court. (See, e.g., Jing Chen Decl., Ex. 48; Cal. Rules of Court, rule 1.201, subd. (a)(2).) The Court admonishes Defendants to comply with the California Rules of Court going forward.

Defendants'

Opposition also provides the following quotation without any citation to its source: “courts ‘liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.’” (Opp., 8:18-19.) The Court admonishes Defendants to provide proper citations going forward.

Defendants do

correctly argue, however, that Plaintiff's Separate Statement fails to repeat

the issues verbatim as stated in Plaintiff's Notice of Motion as required by Rule 3.1350, subdivision (b), of the California Rules of Court. (Cal. Rules of Court, rule 3.1350, subd. (b).) Plaintiff also failed to highlight relevant portions of deposition transcripts per Rule 3.1116, subdivision (c), of the California Rules of Court. (Id., rule 3.1116, subd. (c); see, e.g., Mekhael Decl., Ex. 1, Zhou Depo.) The Court further notes that Plaintiff's separate statement proffers 328 undisputed material facts over a span of 100 pages. While the Court appreciates the challenges posed by multiple claims for breach of contract, this is excessive. Given the repetitive nature of the First through Eighteenth Causes of Action, Plaintiff's separate statement could have been significantly shorter. It is unclear why Plaintiff needed 21 proffered material facts for the First Cause of Action for what is a straightforward breach of contract claim. (See UMF 1-21.) Rule 3.1350, subdivision (d)(2), of the California Rules of Court provides that "[t]he separate statement should include only material facts and not any facts that are not pertinent to the disposition of the motion." (Cal. Rules of Court, rule 3.1350, subd. (d)(2).) The facts proffered in a separate statement should be limited to facts that address the elements of the cause of action so that the parties are apprised of the material facts at issue and the Court can focus on whether the facts are truly disputed. (Beltran v. Hard Rock Hotel Licensing, Inc. (2023) 97 Cal.App.5th 865, 875-876.) The Court admonishes Plaintiff to comply with the California Rules of Court going forward.

EVIDENTIARY OBJECTIONS

The Court SUSTAINS Plaintiff's objection numbers 32, 34, 35, 36, 37, 38, 39, and 40 to the Declaration Zhe Zhou, and to Exhibit Numbers 9, 10, 11, and 12 attached to the Declaration of Zhe Zhou, on the grounds that they contain improper lay opinion regarding the valuations proffered and lack foundation. (See Evid. Code, §§ 702, 800, 803.)

The Court SUSTAINS Plaintiff's objection numbers 4, 5, 6, and 8 to the Declaration of Zhongzhong Zhou on hearsay grounds. (Evid. Code, § 1200.)

The Court OVERRULES Plaintiff's objections to the Declaration of Jing Chen as being without merit.

The

Court OVERRULES all of Plaintiff's remaining objections, as the Court does not rely on that evidence in reaching its decision herein.

REQUESTS FOR JUDICIAL NOTICE

The Court GRANTS

Plaintiff's and Defendants' requests for judicial notice of the dissolution judgment, recorded deeds, support stipulations, and prior court orders. (Evid. Code, § 452, subds. (c)-(d).) However, the Court takes judicial notice only as to "the existence, content and authenticity of public records and other specified documents" and the legal effect of the documents' language when that effect is clear, it does not take judicial notice of the truth of the factual matters asserted in those documents. (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 400; *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265.)

DISCUSSION

Summary of Relevant Undisputed Material Facts

Plaintiff and Thunder entered into nine Loan and Security Agreements financing Thunder's fleet trucks, and Zhou executed a Continuing Guaranty for each, absolutely and unconditionally guaranteeing repayment upon Thunder's default. (UMF 1, 22-23, 25, 32, 53, 56, 63, 80, 88, 109, 119, 140, 150, 171, 180, 201, 209, 229, 239, 259.) Plaintiff funded each loan. (UMF 2, 33, 64, 89, 120, 151, 181, 210, 240.) In November 2023, Thunder and Zhou signed a Modification Agreement suspending payments for three months and reaffirming the obligations, representing that they had "no valid defense, setoff, recoupment, abatement, or counter claim." (UMF 7-9, 38, 40, 71, 96, 125, 127, 156, 158, 188.) Thunder made no payments thereafter and defaulted on all nine loans by January 2024. (UMF 10, 41, 72, 97, 128, 159, 186, 189, 218, 248, 292, 307, 322.) Zhou also defaulted on all the guaranties. (UMF 27, 28, 83, 113, 144, 175, 204, 233, 263.) Zhou admitted at deposition that he failed to pay the amounts due, understood the failures were events of default, and acknowledged no defense to the obligations. (UMF 12; Mekhael Decl., Zhou Depo., 140:11-19.) Plaintiff seeks an aggregate of \$688,740.09 as of April 29, 2026, plus contractual default interest. (Oliver Decl., ¶ 143.)

As to the property, Zhou purchased the Diamond Bar residence in

April 2018, taking title as an “unmarried man,” and represented in his mortgage application that he would occupy the property, owed no support, and had not borrowed the down payment. (UMF 270-272.) On March 28, 2023, during Thunder’s financial distress and months before default, Zhou transferred his interest to Chen by interspousal transfer grant deed. (UMF 273-278.)

First through Eighteenth Causes of Action for Breach of Written Agreement and Breach of Continuing Guaranty

The elements of breach of contract are the contract, the plaintiff’s performance or excuse, the defendant’s breach, and resulting damages. (Agam v. Gavra (2015) 236 Cal.App.4th 91, 104 (Agam).) A continuing guaranty guarantees the borrower’s future obligations, and the guarantor answers for the debt upon default. (Gray1 CPB, LLC v. Kolokotronis (2011) 202 Cal.App.4th 480, 486-488.)

Plaintiff contends that the undisputed facts establish every element of its nine breach-of-written-agreement claims against Thunder and its nine corresponding breach-of-continuing-guaranty claims against Zhou, i.e., the existence of a contract, Plaintiff’s performance, Defendants’ breach, and resulting damages. Plaintiff argues that it and Thunder entered into nine valid and enforceable Loan and Security Agreements, each signed by Zhou as president and each guaranteed by Zhou through an absolute and unconditional Continuing Guaranty, and that it performed by providing the financing Thunder used to purchase the vehicles. Plaintiff further contends that breach is undisputed because Thunder stopped paying, signed a November 2023 Modification Agreement reaffirming the obligations, and then defaulted on all nine loans by January 2024, with Zhou admitting at deposition that he failed to pay and understood the failure was an event of default. Plaintiff asserts that its recoverable damages are undisputed and total \$688,740.09 as of April 29, 2026, plus contractual default interest at 18% per annum, and that Defendants dispute neither the amount nor their joint and several liability. Finally, Plaintiff argues that, having proved each element and shifted the burden, no triable issue remains because Thunder and Zhou expressly waived any defenses in the loan documents, the Modification Agreement’s reaffirmation, and the Guarantees, and admitted they have no defense other than their claimed inability to pay.

The Court finds Plaintiff has met its initial burden of establishing each element and the absence of any defense. The undisputed facts

establish the nine Agreements and nine Guaranties, each signed by Zhou. (UMF 1, 22-23, 25, 32, 53, 56, 63, 80, 88, 109, 119, 140, 150, 171, 180, 201, 209, 229, 239, 259.) The undisputed facts also establish Plaintiff's performance in funding each loan, (UMF 2, 33, 64, 89, 120, 151, 181, 210, 240), Thunder's and Zhou's defaults, (UMF 10, 27-28, 41, 72, 83, 97, 113, 128, 144, 159, 175, 186, 189, 204, 218, 233, 248, 263, 292, 307, 322), and recoverable damages of \$688,740.09, (Oliver Decl., ¶ 143). Defendants further reaffirmed the obligations and waived defenses in the Modification Agreement and the Guaranties. (UMF 7-9, 38, 40, 71, 96, 125, 127, 156, 158, 188.) The burden thus shifts to Defendants.

In opposition, Defendants contend that Plaintiff failed to mitigate its damages by disposing of the repossessed vehicles in a commercially unreasonable manner, selling them at public auction for \$71,050 when their fair market value was approximately \$219,253. Defendants rely on Zhou's valuation of the vehicles and used-truck website listings (such as truckpaper.com), and argue that Plaintiff offered no expert testimony that an auction sale was commercially reasonable and that its litigation specialist had no experience selling vehicles. Defendants assert that failure to mitigate was pleaded as their Fifth Affirmative Defense and that, because the reasonableness of the sale and the resulting amount of damages are disputed, summary adjudication must be denied. Defendants further argue that the existence of even a single disputed material fact requires denial, contending the Court's role is issue-finding rather than issue-determination and that the evidence must be construed in their favor.

The Court finds Defendants failed to establish the existence of a triable issue of material fact. First, the mitigation defense is not properly at issue. A common-law failure-to-mitigate defense concerns whether the injured party acted reasonably to reduce its loss. (*Agam*, *supra*, 236 Cal.App.4th at p. 111.) The commercial reasonableness of a secured party's disposition of collateral is a distinct statutory matter: in a non-consumer transaction, the secured party need not prove compliance with the disposition rules unless the debtor or a secondary obligor places compliance in issue. (Comm. Code, § 9626.) The pleadings frame the outer measure of materiality, and a defect in the answer entitles a moving plaintiff to adjudication where the only matter in dispute is a defense not intelligibly pleaded. (*FPI Dev., Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 382-383.) Defendants' answer pleads only a generic failure-to-mitigate defense, not statutory commercial unreasonableness.

Second, even if the Court were to consider it, the mitigation defense fails on the statutory standard as well. That a greater amount might have been obtained by a different method is not itself sufficient to establish unreasonableness; a disposition is commercially reasonable if made in the usual manner on a recognized market, at the current market price, or in conformity with reasonable dealer practices. (Comm. Code, § 9627, subd. (a).) The undisputed facts show Plaintiff first attempted private sale, gave disposition and redemption notices, and then sold through Ritchie Bros., an established commercial auctioneer. (UMF 15-17, 47-49, 102-104, 133-135, 164-166, 194-196, 223-225, 253-255.)

Third, the mitigation defense rests on inadmissible evidence. Zhou's lay valuation opinion and the truckpaper.com printouts lack foundation connecting them to the specific vehicles' condition, mileage, or 2025 sale date, and speculation cannot defeat summary adjudication. (Jackson v. AEG Live, LLC (2015) 233 Cal.App.4th 1156, 1172.) The Court has sustained Plaintiff's objections to this evidence.

The Court therefore finds Plaintiff established each element of the First through Eighteenth Causes of Action and the absence of any triable defense. The Court finds there are no triable issues of material fact and that Plaintiff is entitled to judgment as a matter of law. Accordingly, the Court GRANTS summary adjudication to these causes of action.

Twenty-First

Cause of Action – Fraudulent Transfer (Actual Fraud)

A transfer is

voidable as to a creditor if made with actual intent to hinder, delay, or defraud any creditor. (Civ. Code, § 3439.04, subd. (a)(1).) The Uniform Voidable Transactions Act applies to transfers between former spouses. (See Filip v. Bucurenciu (2005) 129 Cal.App.4th 825, 834 (Filip) [trial court decision followed a bench trial].)

Plaintiff contends that Zhou's March 28, 2023 interspousal transfer of his interest in the Diamond Bar property to Chen is voidable as an actual-fraud transfer under the Uniform Voidable Transactions Act. Plaintiff argues that actual intent need not be proved directly and may be inferred from the statutory "badges of fraud," of which it contends several are present. Specifically, Plaintiff points to the

transfer being made to an insider (Zhou's former spouse), Zhou's continued possession and mortgage payments after the transfer, the timing during Thunder's financial distress and shortly before default, the property comprising substantially all of Zhou's assets, and the absence of reasonably equivalent value. Plaintiff argues that once multiple badges are shown the burden shifts to Defendants to provide a credible, legitimate explanation, and that a mere denial of intent is insufficient. Plaintiff also emphasizes that the Court already found the probable validity of these claims when it denied Zhou and Chen's motion to expunge the lis pendens.

The Court finds

Plaintiff failed to establish the absence of a triable issue of material fact for this cause of action. Whether a conveyance was made with fraudulent intent is a question of fact, and the badges of fraud are not a mathematical formula — no minimum number compels a finding of fraudulent intent. (See *Filip*, supra, 129 Cal.App.4th at p. 834; *Quidel*, supra, 57 Cal.App.5th at p. 164.) The Court's prior ruling denying Defendants' motion to expunge lis pendens ruling was made under a lower "probable validity" standard and does not establish the absence of a triable issue of material fact. (Order Re: Tentative Ruling (4/22/25).)

Moreover, even after the Court's evidentiary rulings, Defendants' competing explanation is not wholly unsupported. For example, Chen's deposition testimony that family funds supplied the down payment, and the third-party declarations of Jing Chen and Zhongzhong Zhou remain in the record. (Si Chen Decl., Ex. A, 83:20-24; Jing Chen Decl., ¶ 4; Zhongzhong Zhou Decl., ¶ 5.)

Based on the foregoing, the Court DENIES the Motion for Summary Adjudication as to the Twenty-First Cause of Action.

Twenty-Second

Cause of Action – Fraudulent Transfer (Constructive Fraud)

Constructive

fraud requires a transfer made without receiving reasonably equivalent value while the debtor's remaining assets were unreasonably small or the debtor could not pay debts as they came due. (Civ. Code, § 3439.04, subd. (a)(2).)

Plaintiff

contends the transfer is independently voidable as constructive fraud, which requires no showing of intent. Plaintiff argues the transfer was made without Zhou's receiving reasonably equivalent value, as confirmed by the undisputed facts and the absence of any enforceable child-support obligation that could constitute consideration. Plaintiff further argues that Zhou was insolvent, or on the verge of insolvency, at the time of the transfer, asserting he admitted he had no other assets and that his personal liability under the Guarantees exceeded his assets. As to Defendants' defense that Chen supplied the purchase funds and that the transfer repaid a child-support waiver, Plaintiff argues this theory is based on self-serving, inadmissible testimony that the Court previously rejected, and that the bank records reflecting the down-payment funds came from an account Zhou maintained and whose source he could not identify.

The Court finds Plaintiff failed to establish the absence of a triable issue of material fact. Whether a transferee gave reasonably equivalent value and took in good faith is a question of fact on which the transferee bears the burden. (*Nautilus, Inc. v. Yang* (2017) 11 Cal.App.5th 33, 40; see Civ. Code, § 3439.08.) The judicially noticed 2016 support stipulation confirms a support order existed, complicating the premise that no support obligation could have furnished consideration. (Defendants' Request for Judicial Notice, Ex. B.)

Second, the presumption that the holder of legal title holds full beneficial title does not apply where the genuineness of title is challenged. (In re Brace (2020) 9 Cal.5th 903, 914 [legal title owner presumption rebuttable only by clear and convincing proof]; *People v. Semaan* (2007) 42 Cal.4th 79, 88.) Where an offer of proof suggests the transaction was a sham and beneficial title never passed, courts question whether the presumption applies at all. (*Coyne v. De Leo* (2018) 26 Cal.App.5th 801, 819-820.) This authority cuts both ways — it undercuts Defendants' reliance on record title and equally undercuts Plaintiff's reliance on the presumption to conclusively establish Zhou's beneficial ownership — leaving a factual dispute over beneficial ownership.

Based on the foregoing, the Court DENIES the Motion for Summary Adjudication as to the Twenty-Second Cause of Action.

CONCLUSION

The Court GRANTS Plaintiff BMO Bank N.A.'s Motion for Summary Adjudication as to the First through Eighteenth Causes of Action. The Court DENIES the Motion as to the Twenty-First and Twenty-Second Causes of Action.

Plaintiff is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] Defendants

contend that personal service was not valid because the documents were not left in the office, but rather on the outside of the office against the door, which is not in compliance with Code of Civil Procedure section 1101.